

Digital Business



Topic 4

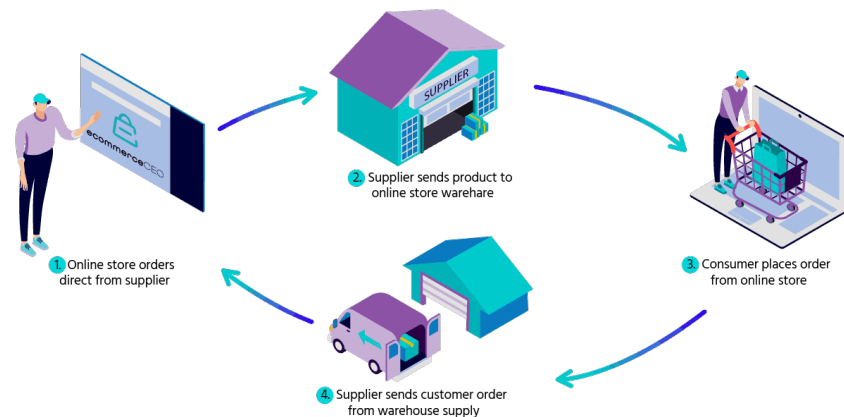
Digital Business Strategies

Learning Objectives

- 4.1 Identify the key components of e-commerce business models.
- 4.2 Describe the major B2C business models.
- 4.3 Understand key business concepts and strategies applicable to e-commerce.

E-commerce Business Models

- Business model
 - Set of planned activities designed to result in a profit in a marketplace
- Business plan
 - Describes a firm's business model
- E-commerce business model
 - Uses/leverages unique qualities of Internet and Web



Eight Key Elements of a Business Model

1. Value proposition
2. Revenue model
3. Market opportunity
4. Competitive environment
5. Competitive advantage
6. Market strategy
7. Organizational development
8. Management team



1. Value Proposition

- “Why should the customer buy from you?”
- Successful e-commerce value propositions:
 - Personalization/customization
 - Reduction of product search, price discovery costs
 - Facilitation of transactions by managing product delivery



2. Revenue Model

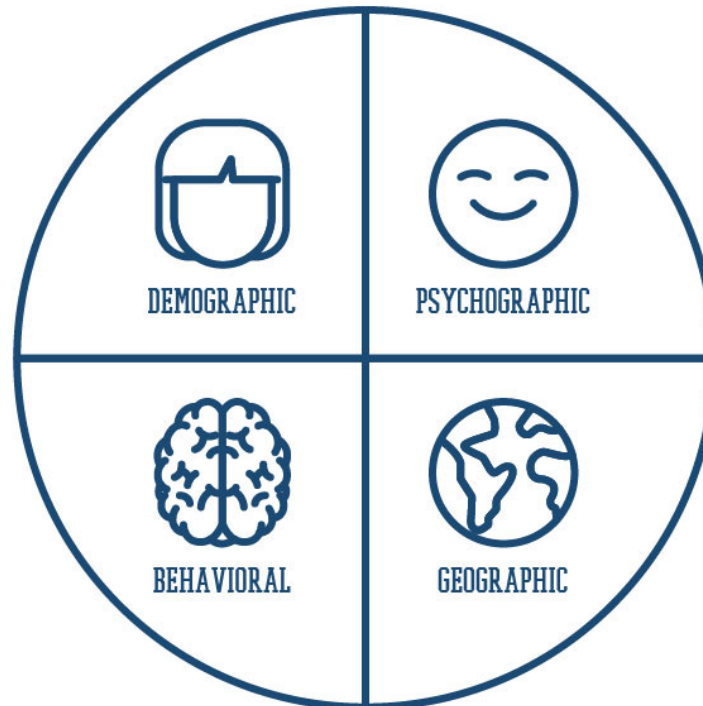
- “How will you earn money?”



3. Market Opportunity

- “What marketspace do you intend to serve and what is its size?”

4 Types of **MARKET SEGMENTATION**



4. Competitive Environment

- “Who else occupies your intended marketspace?”
 - Other companies selling similar products in the same marketspace
 - Includes both direct and indirect competitors
- Influenced by:
 - Number and size of active competitors
 - Each competitor’s market share
 - Competitors’ profitability
 - Competitors’ pricing

5. Competitive Advantage

- “What special advantages does your firm bring to the marketplace?”
 - Is your product superior to or cheaper to produce than your competitors’?
- Important concepts:
 - Asymmetries
 - First-mover advantage, complementary resources
 - Unfair competitive advantage
 - Leverage
 - Perfect markets

6. Market Strategy

- “How do you plan to promote your products or services to attract your target audience?”
 - Details how a company intends to enter market and attract customers
 - Best business concepts will fail if not properly marketed to potential customers

7. Organizational Development

- “What types of organizational structures within the firm are necessary to carry out the business plan?”
- Describes how firm will organize work
 - Typically, divided into functional departments
 - As company grows, hiring moves from generalists to specialists

8. Management Team

- “What kind of backgrounds should the company’s leaders have?”
- A strong management team:
 - Can make the business model work
 - Can give credibility to outside investors
 - Has market-specific knowledge
 - Has experience in implementing business plans



Raising Capital

- Seed capital
- Elevator pitch
- Traditional sources
 - Incubators, angel investors
 - Commercial banks, venture capital firms
 - Strategic partners
- Crowdfunding
 - JOBS Act



Categorizing E-commerce Business Models

- No one correct way to categorize
- Text categorizes according to:
 - E-commerce sector (e.g., B2B)
 - E-commerce technology (e.g., m-commerce)
- Similar models appear in different sectors
- Companies may use multiple business models (e.g., eBay)
- E-commerce enablers

B2C Business Models

- E-tailer
- Community provider (social network)
- Content provider
- Portal
- Transaction broker
- Market creator
- Service provider

B2C Models: E-Tailer

- Online version of traditional retailer
- Revenue model: Sales
- Variations:
 - Virtual merchant
 - Bricks-and-clicks
 - Catalog merchant
 - Manufacturer-direct
- Low barriers to entry

B2C Models: Community Provider

- Provide online environment (social network) where people with similar interests can transact, share content, and communicate
 - Examples: Facebook, LinkedIn, Twitter, Pinterest
- Revenue models:
 - Typically hybrid, combining advertising, subscriptions, sales, transaction fees, and so on

B2C Models: Content Provider

- Digital content on the Web:
 - News, music, video, text, artwork
- Revenue models:
 - Use variety of models, including advertising, subscription; sales of digital goods
 - Key to success is typically owning the content
- Variations:
 - Syndication
 - Aggregators

B2C Business Models: Portal

- Search plus an integrated package of content and services
- Revenue models:
 - Advertising, referral fees, transaction fees, subscriptions for premium services
- Variations:
 - Horizontal/general (example: Yahoo, AOL, MSN)
 - Vertical/specialized (vortal) (example: Sailnet)
 - Search (example: Google, Bing)

B2C Models: Transaction Broker

- Process online transactions for consumers
 - Primary value proposition-saving time and money
- Revenue model:
 - Transaction fees
- Industries using this model:
 - Financial services
 - Travel services
 - Job placement services

B2C Models: Market Creator

- Create digital environment where buyers and sellers can meet and transact
 - Examples: Priceline, eBay
 - Revenue model: Transaction fees, fees to merchants for access
- On-demand service companies (sharing economy): platforms that allow people to sell services
 - Examples: Uber, Airbnb

B2C Models: Service Provider

- Online services
 - Example: Google-Google Maps, Gmail, and so on
- Value proposition
 - Valuable, convenient, time-saving, low-cost alternatives to traditional service providers
- Revenue models:
 - Sales of services, subscription fees, advertising, sales of marketing data

Questions??